The implications of broker consolidation: The consolidation of brokerage firms has been a hot topic in the market for several years. Today, there is growing recognition of unintended consequences. For instance, localized innovation and creativity may be stifled if smaller brokerage firms are acquired by larger shops with standardized processes.

Another potential risk is that increased emphasis on the largest employers will cause small and potentially midsize businesses to receive less attention and lower service levels. This may open the door even more for general agencies and potential new entrants to expand their market presence. As more entities enter the benefits ecosystem, the competitive landscape will continue to evolve, with shifting power dynamics around benefits delivery.

Consolidation and changes in brokers' operating models are often driven by a talent gap; many brokers are challenged to recruit the right balance of client relationship skills, industry domain knowledge and technical skills. Flexible work arrangements, new compensation structures and strong cultures are among the ways brokers cited they seek to attract and retain talent.

Carriers will be impacted as consolidation continues and broker talent shortages worsen. Their service models may need to align to how brokerage houses are organized, as well as offer potential new compensation models and schedules tailored to younger brokers building their book of business. Mutual trust is needed, too, for carriers to grow together and strengthen relationships with new brokers. At the same time, agentic AI can help augment digital distribution channels and create "right touch" experiences to build and retain trust.

The future of distribution: Brokers are also attuned to potential changes in distribution. In our interviews, they shared their thoughts on new and growing options and methods. Not surprisingly, brokers remain skeptical about direct-to-employer channels gaining traction, given the expansion into total wellbeing and growing regulatory complexity. Broker opinions are mixed regarding multiple employer plans (MEPs) and pooled employer plans (PEPs), particularly their ability to provide benefits access to small to midsize employers. While MEPs and PEPs have gained traction and seen success in providing retirement and related financial benefits at scale, only some brokers view this model as a potential distribution option for insurance benefits. Broker concerns are likely driven by a lack of familiarity with these models, challenges they may have experienced in health care and the regulations that govern these plans.

Brokers, however, are optimistic on the outlook for individual coverage health reimbursement arrangements (ICHRAs) and PEOs, which are viewed as attractive due to their cost effectiveness for employers and their relevance to employees. Brokers do express some trepidation with employers relative to ICHRAs, specifically that businesses see them as potentially disruptive to workers given how dramatic the change would be from existing offerings.

These concerns could delay fundamental shifts in how benefits are offered and limit near-term adoption. Brokers did cite however that it's worth remembering that, historically, employers were reluctant to adopt high-deductible medical plans, which have since become mainstream. Brokers see potential for PEOs to succeed and expand upmarket to penetrate underserved markets. There is recognition, however, that more configurable capabilities to support variability will be needed for them to effectively serve larger employers.

Brokers on future distribution trends

> "I'm hopeful that we'll see more ICHRAs because they are a great opportunity for employers to save money and still effectively deliver benefits.

> "If I could move it to a PEO then I can focus on strategy. We've seen a lot more clients interested in making that move than I would have thought.

THE BOTTOM LINE

The transition of brokers to strategic advisors is likely to continue, with ongoing employer emphasis on economic value. Broker consolidation will create new opportunities for general agencies and other new market entrants, particularly if it undercuts localized innovation and opens the door to engage underserved segments.